Recourse-first factoring can win in Manila

Market research for Jordan Hays · Recourse vs non-recourse factoring, developing markets, Philippines focus · 4 November 2026 · AI-assisted research, sources linked inline; items marked UNSURE are unverified.

A small operator can build a viable receivables-finance business in the Philippines, but only as a **recourse-first, debtor-verified, SEC-licensed financing company** that targets a niche the banks and First Circle ignore, and not as the "non-recourse factor" the term usually conjures. Recourse and non-recourse differ in exactly one thing, who absorbs the debtor's insolvency; every other risk (dilution, disputes, fraud, late payment) stays with the seller in both, so the practical question is which debtors the factor can underwrite, not which label it sells. Globally that choice is settled by infrastructure: factoring turnover passed **EUR 4.04 trillion in 2025** (FCI, May 2026), with non-recourse at roughly half of FCI members' domestic volume, but in emerging markets non-recourse exists almost only where an anchor buyer confirms invoices on a platform (Mexico's NAFIN, India's TReDS) or an FCI import factor underwrites a foreign buyer. The Philippines is the striking gap in that picture: **1.24 million MSMEs (99.6% of firms, 2023)** get just **4.7% of bank lending (₱574.8 billion, end-2025)**, 30-to-120-day terms from large buyers are normalised, yet the country does not appear in any FCI table for 2019–2025, every invoice marketplace launched since 2016 (Acudeen, Investree PH, SeedIn) has failed or been impaired, and the only scaled survivor, First Circle, is a DFI-funded balance-sheet lender now heading for a US$110 million IFC-backed securitisation. Regulation is permissive for a US citizen (100% foreign ownership since RA 10881 in 2016; financing-company licence at ₱15 million paid-up under SEC MC 20 s.2026, UNSURE pending the circular's primary text; 5% gross receipts tax instead of VAT; a movable-collateral registry live since February 2025), but enforcement is slow (962 days for a commercial suit, Doing Business 2020) and collections conduct is tightly policed. Insured non-recourse on domestic SME buyers is not feasible for a small operator in 2026: trade credit insurers (Atradius via Malayan since March 2024, Coface since 2006) launched for multinationals, no public guarantee covers purchased receivables, and no Philippine FCI member could be confirmed. The illustrative unit economics show a **₱5 million book earns almost nothing after opex; a ₱20–50 million book priced at 2.5–3.5% per 30 days with losses held near 3% can return 28–48% on equity in the high case** (all inputs labelled assumptions). The recommended path for the January–June 2027 window is to use the Placewell International manpower network to originate and hand-verify staffing-subcontractor and FMCG-supplier invoices, earn First Circle referral fees while learning the market, fund a handful of PDC-backed, debtor-acknowledged invoices from private capital, and only then decide between a fresh ₱15 million licence, a share purchase of a compliant financing company, or remaining an originator.

Recourse decides only who eats the debtor's insolvency

The industry's reference taxonomy comes from the Global Supply Chain Finance Forum (BAFT, FCI, ICC, ITFA, EBA), whose 2016 *Standard Definitions* split receivables purchase into factoring, receivables discounting, forfaiting and payables finance. Factoring is a sale of invoices at a discount in which "typically the finance provider becomes responsible for managing the debtor portfolio and collecting the payment," ownership passes to the factor, the buyer settles with the factor, the arrangement "is normally disclosed to the buyer," and it "is provided with or without recourse depending on aspects such as credit insurance, jurisdiction and market practice" (GSCFF 2016). Receivables discounting is the same sale without the collection service, usually for larger corporates with many buyers, and can be disclosed or confidential; payables finance (reverse factoring, confirming, supplier finance) is "buyer-led," the buyer gives "an unconditional, irrevocable commitment to pay," and the provider "relies on the creditworthiness of the buyer and typically grants the financing 'without recourse' to the seller" (GSCFF 2016). A loan or advance against receivables, by contrast, is a secured loan and not a purchase at all.

The World Bank's canonical definition (Klapper, 2005) is the cleanest statement of the recourse split: in non-recourse factoring "the lender not only assumes title to the accounts, but also assumes most of the default risk because the factor does not have recourse against the supplier if the accounts default," whereas under recourse factoring "the factor has a claim against its client for any account payment deficiency," so losses occur only if the account defaults *and* the client cannot make up the shortfall (Klapper, World Bank WPS3593, 2005). Two subtleties matter for a new entrant. First, even non-recourse factoring shares risk: the factor advances less than 100% and holds the difference as a reserve that absorbs "any deficiencies in the payment of the related invoice," and because that reserve is a liability of the factor to the client, the client is also exposed to the factor's own insolvency (Klapper 2005). Second, practitioner non-recourse is narrower than the label implies. US guides say the factor "absorbs the loss if your customer becomes legally insolvent," often capped per account, while "disputes, short-pays, offsets, missing or late proof of delivery, delivery errors, missing documentation, breach of contract, and fraud" are excluded; under recourse, an invoice unpaid after a 60–120 day window (often 90) must be bought back or replaced (FreightWaves, 2025–26). UK guides say "most UK providers cover formal insolvency only (liquidation, administration, or CVA)," that full non-payment cover is "rare and significantly more expensive," and that bad-debt cover typically pays up to 90% (ExpertSure UK). The GSCFF itself notes "there are many situations where recourse or limited recourse is maintained," and IFRS commentary treats "factoring with guarantee," recourse capped at a guarantee amount, as "the most common arrangement" (GSCFF 2016; CPDbox).

The variants line up along a single axis of who bears which risk, synthesised from the GSCFF risk lists and the practitioner sources above:

Variant	Debtor insolvency	Late payment	Dilution (credit notes, offsets, disputes)	Fraud	Disclosed?	Collects
Recourse factoring	Seller (chargeback after 60–120 days)	Seller	Seller	Seller	Usually	Factor
Non-recourse factoring	Factor (usually insolvency only, often insured, capped per debtor)	Usually seller or shared	Seller	Seller	Usually	Factor
Limited / partial / modified recourse	Shared (capped guarantee, first-loss, defined events)	Seller	Seller	Seller	Varies	Factor
Maturity factoring (no advance)	Factor if non-recourse	Factor (pays at fixed date)	Seller	Seller	Yes	Factor
Confidential invoice discounting	Seller	Seller	Seller	Seller (highest exposure)	No	Seller as agent
Reverse factoring / payables finance	Factor takes buyer risk, non-recourse to supplier	Buyer pays at maturity	Removed by buyer's irrevocable approval	Low	Buyer initiates	Buyer pays provider
Export two-factor (FCI)	Import factor	Import factor	Seller	Seller	Yes	Import factor

The export two-factor model deserves its own line because it is the one route to true non-recourse that does not depend on domestic infrastructure. An export factor in the seller's country funds the exporter; an import factor in the buyer's country assesses the buyer, takes the credit risk and collects, bound by FCI's General Rules for International Factoring and an Inter-Factor Agreement that "is in effect a service and guarantee contract between the Export Factor and the Import Factor" (FCI). If an approved receivable is still unpaid 90 days after due date, the import factor pays the export factor in full under "Payment Under Approval" (single secondary source; verify against the GRIF text) (Trade Treasury Payments). The model is small in volume terms: two-factor business was about 6% of FCI members' export factoring in 2024 (FCI Annual Review 2025).

Pricing has two legs, and the funding leg dominates in emerging markets

Factor pricing everywhere combines a service fee on invoice face value with a funding charge on the money advanced. In the UK the service fee runs 0.5–2% of turnover for recourse and 1–3% for non-recourse, the discount charge is base plus roughly 2.5% (margins of 1.5–3% over base), and the non-recourse premium is 0.5–1 point of turnover; on £500,000 of turnover the worked example costs about £21,875 a year recourse versus £25,625 non-recourse (ExpertSure UK). US SME and trucking factors quote 1–5% per invoice cycle recourse and 3–7% non-recourse (FreightWaves), or 2–4% versus 3–5% of invoice value (DAT); a US SME blog's illustrative 3% versus 4% also claims that "88% of the invoice financing industry practices recourse factoring," citing the International

Factoring Association, which the notes could not verify (SMB Compass). Advance rates cluster at 80–90% (Klapper's 2005 figure of 70% is dated), with non-recourse slightly lower and cuts of 10–25 points on disputed or high-dilution ledgers (FreightWaves; Resolve). The cheapest form of non-recourse is often not non-recourse at all: standalone trade credit insurance from Atradius, Coface or Allianz Trade "often costs less than the non-recourse premium," with a UK vendor citing 0.1–0.4% of insured turnover (ExpertSure UK) and Atradius itself quoting 0.1% to just over 1% (Atradius Group).

A simple yield model shows why the funding leg matters more than the recourse choice in a high-rate economy. On a 90%-advance, 60-day invoice with a 2% flat fee and a 12% annual funding charge, gross yield on funds employed is roughly (2% ÷ 0.9) × 6 turns + 12% ≈ 25% a year before losses and opex; non-recourse adds 0.5–1 point of turnover, or 3–6 points of annualised yield, out of which the insurance premium and expected insolvency loss must be paid (researcher arithmetic from the inputs above). Factor-level economics are thinly reported, but Turkey's regulated sector, the best proxy for a mature emerging-market non-bank factoring industry, posted a **2.8% NPL ratio, 1.0% cost of risk and 18.2% sector ROE in 2021** (TEB Faktoring 25.5%) (TEB 2021 integrated report). In Europe, EUR 307 billion of advances supported EUR 2.479 trillion of 2024 turnover for roughly 301,000 clients, so funds in use are about 12% of annual turnover, implying a 45-day average funding period (FCI Annual Review 2025). Market structure is concentrated: the top five players hold 86% of a typical national market, bank divisions are 41% of providers, bank subsidiaries 30% and independents 15% (FCI Annual Review 2025).

Losses are small, dilution and fraud are the real risks

Credit loss in a disciplined factor is a second-order cost. Turkey's 1.0% cost of risk (2021) and the ICC Trade Register finding, relayed by the IFC, that receivables finance shows "very low default rates and limited loss at time of default" set the benchmark (IFC Knowledge Guide 2023/24). Dilution is structurally larger: vendor estimates (indicative only, unsourced to a primary dataset) put typical dilution at 2–15% of invoice value, 20–30% in services, and 22–28% for firms under US$5 million of revenue (Resolve). Fraud is the tail that kills. The International Factoring Association's typology is fake invoices, double financing (the same invoice sold to several factors) and misrepresented creditworthiness, with Greensill and Wirecard as the headline cases (IFA Commercial Factor). Stenn, a UK fintech valued near US$900 million that had financed about £16 billion for roughly 800 businesses, entered administration on 4 December 2024 after HSBC Innovation Bank called a £20 million facility on suspicion of fraud: allegedly bogus invoice owners, supplier "fronts" whose purported large-corporate debtors denied any relationship, a "legacy book" handled only by senior management, and an auditor (EY) who had resigned in 2018 (Trade Finance Global). FCI's own observation is that "most of the largest fraud cases in traditional factoring over the past two decades involved non-notification services" (FCI). MonetaGo's chief executive estimates that 1–2% of invoice financing globally is subject to fraud (American Banker).

The mitigation toolkit is structural rather than price-based. The GSCFF lists buyer credit assessment and insurance, sampling or individual invoice verification, concentration limits, exclusion of unfactorable sectors (construction stage payments, perishables, long warranties), advance-rate reserves against dilution, waivers of anti-assignment clauses,

collection accounts in the provider's name against commingling and claw-back, reconciliation with the buyer's records, and perfected assignment against double financing (GSCFF 2016). Among FCI members, 40% insure their buyers with a credit insurer, covering an average 44% of debtors (2024), and 46% accept e-invoices (FCI Annual Review 2025). Where a central invoice registry exists the problem shrinks: Peru's Factrack registry handled 3,483,543 negotiated invoices in 2024 against 14,401 in 2016 (Andina, Apr 2025), and India Factoring went live on MonetaGo's system, which checks invoices against GST Network records to block duplicate financing (The Fintech Times). The implication for a new Philippine entrant, which has no such registry, is to default to disclosed, notified, debtor-verified structures and to treat confidential discounting as off-limits.

Why sellers care: balance-sheet treatment flips with recourse

Under IFRS 9 a receivable is derecognised only if "substantially all" risks and rewards are transferred; "in a 'with recourse' arrangement, all or most of the credit risk remains with the entity. Such an arrangement will almost always fail the risks and rewards tests," while partial recourse may still qualify depending on the exposure retained (KPMG India, 2023, via search summary). The worked entries are instructive: a non-recourse sale of CU300,000 at 90% books cash of 270,000, a finance expense of 30,000 and removes the receivable; a recourse sale at 96% books cash of 288,000, expense of 12,000 and a refund liability of 300,000 while the receivable stays on the books (CPDbox). US GAAP's ASC 860 uses a control and legal-isolation test, so a 90-day chargeback did not defeat sale treatment in the Journal of Accountancy's example, though significant recourse has pushed arrangements into secured-borrowing treatment (Journal of Accountancy; Noah Group SEC correspondence). FCI attributes the persistence of non-recourse at about half of product volume to "risk mitigation and off-balance sheet treatment" (FCI Annual Review 2025). For the factor the accounting is a mirror: the IFC notes that in recourse factoring "the assignee's credit exposure will be with the assignor and the provisioning is calculated using the default risk of the assignor," while in non-recourse the assignee provisions on the debtor's default risk (IFC Knowledge Guide). A recourse factor is therefore an SME lender secured on receivables; a non-recourse factor is a buyer-credit underwriter. That distinction decides what data the venture must buy. Legally, the critical question in any emerging market is whether domestic law treats factoring as a true sale so that factored receivables sit outside the seller's bankruptcy estate; Klapper's argument is that where it does, "creditor rights and enforcement of loan contracts diminish in importance for factoring because factors are not creditors" (Klapper 2005). UNIDROIT's 2023 Model Law on Factoring now supplies a template, and the IFC lists the Philippines among jurisdictions with factoring-law reform projects under way (IFC Knowledge Guide).

A €4 trillion industry that barely reaches ASEAN

World factoring turnover (face value of receivables assigned) reached **EUR 4,039 billion in 2025, up 3.7%** from EUR 3,895 billion in 2024 and EUR 3,791 billion in 2023, the first time it passed EUR 4 trillion (USD 4,745 billion at 1.1748) (FCI press release, May 2026; FCI country table 2019–2025). The 2024 survey drew data from a record 4,451 companies; the two-decade compound growth rate is 7.8%, and factoring outgrew global

product sales (about 1%) in 2024 (FCI press release, May 2025). Domestic business is 82% of the total (EUR 3,324 billion in 2025) and international 18% (FCI country table). Readers should ignore press reports of "€3.66 trillion" for 2024; that is FCI's 2022 figure.

Region (EUR million)	2023	2024	2025	2025 share	2025 growth
Europe	2,555,266	2,600,301	2,657,926	65.8%	+2.2%
Asia-Pacific	942,078	964,426	995,161	24.6%	+3.2%
North America	92,800	118,750	160,437	4.0%	+35.1%
South & Central America	144,453	152,807	165,328	4.1%	+8.2%
Africa	47,481	50,270	51,399	1.3%	+2.2%
Middle East	9,376	8,076	8,776	0.2%	+8.7%
World	3,791,455	3,894,631	4,039,026	100%	+3.7%

Source: FCI country table 2025; FCI 2025 release.

Europe is mature: factoring equalled 11% of EU GDP in 2024, with non-recourse 54% and reverse factoring 21% of EU turnover (FCI Annual Review 2025). Product mix among FCI members' 2024 domestic business was **non-recourse 49%, reverse factoring 19%, recourse 12%, invoice discounting 11%**, collections-only 5% and non-notification 4%; the GIAR "typical country" estimate put non-recourse at 56% (FCI Annual Review 2025). Member volumes moved sharply in 2024: non-recourse rose 12.2% to EUR 617 billion, recourse fell 12.2% to EUR 159 billion, invoice discounting fell 32.9% to EUR 137 billion, and export factoring rose 34.3% to EUR 192 billion (FCI Annual Review 2025). Note that FCI "members only capture a small percentage of the total reverse factoring market globally," and a second-hand 2025 mix (non-recourse 48%, invoice discounting 27%, reverse 13%, recourse 12%) is UNSURE because the FCI Annual Review 2026 sits behind a request form (BCR Publishing). The World Bank's older finding still holds in direction: 69% of Italian and 73% of listed US factoring was non-recourse, whereas "since in emerging markets it is often problematic to assess the default risk of the underlying accounts, most factoring is done on a recourse basis" (Klapper 2005).

Emerging-market leaders, and the Philippine blank

China alone was EUR 713 billion in 2025 (17.7% of the world, 3.9% of its GDP in 2024, roughly 2,000 companies); Singapore and Taiwan each run at about 7.5% of GDP (FCI Annual Review 2025; FCI country table). The other large emerging markets in 2025 were India EUR 43.5 billion (+13.9% after +120% in 2024, 30 companies), South Africa EUR 42.6 billion (a stale value replicated), Chile EUR 41.5 billion, Brazil EUR 38.2 billion (+22.2%), Peru EUR 37.8 billion (+13.1%), Türkiye EUR 36.4 billion, Mexico EUR 33.3 billion (+6.1%), Thailand EUR 5.2 billion and Vietnam EUR 1.27 billion (whose domestic/international split is inconsistent between FCI's two tables) (FCI country table). Indonesia and Malaysia report nothing recent, and **the Philippines is absent from every FCI table for 2019–2025** (FCI country table). FCI's Asia chapter says it has "begun engaging regulators in India, the Philippines, and Vietnam" and expects both to "develop swiftly," while noting that its reverse-factoring product has not gained regional traction "partly due to cost and limited service support" (FCI Asia-Pacific update, 2024).

Vietnam's 2024 Credit Institutions Law and Circular 20/2024 created a factoring regime FCI calls "a milestone" (FCI Annual Review 2025).

The absence of a Philippine row is itself the single most important market-size finding. Klapper's panel of 48 countries found factoring averaged 1.01% of GDP in middle-income and 2.56% in high-income countries, rising with GDP per capita, growth and the credit-information index, while creditor-rights scores were *not* significant (Klapper 2005). At even the middle-income average the Philippines would be a multi-billion-dollar market, several multiples of Vietnam's reported FCI volume (the researcher's rough arithmetic rests on an unsourced GDP figure, so the exact number is UNSURE). The only published "Philippines factoring market" figure, IMARC's **USD 18.35 billion for 2025** with a 4.12% CAGR to 2034, has no visible methodology, sits suspiciously close to the IFC's 2022 estimate of addressable supply-chain-finance assets, and almost certainly measures potential rather than realised volume (IMARC).

Why the development banks care

The IFC and World Bank size the formal MSME finance gap across 119 emerging and developing economies at **US$5.7 trillion (19% of GDP; demand US$10.3 trillion versus supply US$4.6 trillion, 2019 data)**, swelling to about US$8 trillion with informal firms; 70% of emerging-market MSMEs lack adequate financing (IFC MSME factsheet, Oct 2025; SME Finance Forum, Mar 2025). The IFC estimates "up to 20% of the $5.7 trillion-plus SME finance gap is locked in factoring and supply chain instruments" and that "receivables account for about 40% of SME total assets on average" (IFC speech, FCI 2023). The ADB's ninth trade-finance gap survey (January 2026) puts the global trade finance gap at **US$2.5 trillion in 2025**, about 10% of global trade, with an SME rejection rate of 41%, and recommends scaling supply-chain finance and "deep-tier" structures that use anchor buyers' credit (ADB, Jan 2026). The theoretical case, which every successful emerging-market programme has validated, is Klapper's: factoring "allows high-risk suppliers to transfer their credit risk to their high-quality buyers" and "may be particularly useful in countries with weak judicial enforcement and imperfect records of upholding seniority claims because receivables are sold, rather than collateralized" (Klapper 2005). Mexico's Nafin reverse-factoring platform grew from 2% of Mexican factoring in 2001 to 60% in 2004, entirely non-recourse, with banks charging only interest because the state bank absorbed platform and legal costs (Klapper 2005), and IDB Invest's 2026 firm-level study of Mexican reverse-factoring data (2021–24) found access associated with a statistically significant increase in MSME sales, around 27% per the summary (IDB Invest, 2026).

Three newer models are changing how the recourse question is answered. Regulator- or DFI-sponsored exchanges (India's TReDS, Mexico's Nafin, Chile's Bolsa de Productos, Peru's Factrack) are non-recourse by design because the anchor confirms the invoice (IFC Knowledge Guide). Fintech originators funded by bank lines are moving to receivables securitisation: the IFC's "FC ABS" project, disclosed 8 May 2026 and board-approved 10 September 2026, will invest in senior and mezzanine tranches of an off-balance-sheet ABS issued by a new bankruptcy-remote SPV pooling SME receivables originated and serviced by First Circle, in a package of up to **US$110 million** (IFC A loan up to US$20 million, C loan up to US$10 million, up to US$80 million mobilised), the IFC's first securitisation in the Philippines, with status "pending signing" (IFC project

disclosure; Daily Tribune, 20 Sep 2026). Embedded B2B finance in marketplaces and AP platforms is the third, with "marketplaces taking on the credit risk of a buyer not paying in time" (Nuvei). Securitisation forces a true-sale architecture at the SPV level while the originator keeps first loss and reps-and-warranties recourse; the practical model for a Philippine fintech factor is therefore recourse to the SME on the front end and non-recourse true sale to the funding vehicle on the back end, with the originator's equity as the cushion, and with origination integrity, where Stenn and Greensill failed, as the risk that funders now price first.

Philippine demand is deep, formal supply is thin and anchor-led

1.24 million MSMEs get 4.7% of bank credit

The Philippines had **1,246,373 establishments in 2023, 99.63% of them MSMEs**, employing 6,351,466 people or 66.97% of the workforce (DTI MSME statistics, via snippet); the ADB's Asia SME Monitor 2024 counts 1,241,766 MSMEs, four in five of them outside Metro Manila (Manila Bulletin, 20 Nov 2024). Against that base, bank lending is tiny and shrinking in share: MSME loans were 4.1% of total bank lending and 2.1% of GDP in 2023, down from 6.1% of lending pre-pandemic and 3.2% of GDP in 2019, and the Philippines "continued to have the highest MSME NPL ratio" in the ADB's set at **10.3%**, nearly double the 5.5% of 2019 and three times the 3.2% system-wide ratio (Manila Bulletin, 20 Nov 2024). At end-December 2025 total bank loans to MSMEs were **₱574.8 billion**, up 5.2%, against a ₱12.14 trillion loan book, so about 4.7%; micro and small firms held ₱238.45 billion and medium firms ₱336.35 billion, with universal and commercial banks holding nearly three-quarters of the exposure (Philstar, 6 Mar 2026; Manila Bulletin, 3 Mar 2026). The ADB's diagnosis is blunt: "lack of collateral and recurring issues over risks and costs make MSME lending a high-risk and low-margin proposition," and as of 2024 "there is no well-functioning online registry for movable collateral" (Manila Bulletin, 20 Nov 2024). A BSP survey cited by the ADB finds 57% of Filipino borrowers still depend on informal lenders charging up to 20% a week (Manila Bulletin, 27 Oct 2025).

The policy lever that was supposed to fix this has gone. The Magna Carta for MSMEs' mandatory allocation (8% of loan portfolios to micro and small, 2% to medium) expired on 16 June 2018; the BSP now favours an "enabling ecosystem" over quotas, and several 2025 press reports describing the quota as still in force are wrong (Philstar, 6 Mar 2026). Before expiry, big banks "often opted to pay penalties for noncompliance instead of taking on the risks of lending to small firms" (BusinessWorld). Bills to restore the quota (HB 8109, 19th Congress; HB 2098, 20th Congress) have been filed but not enacted as of November 2026. Rate pass-through tells the same story: during the 2022–24 hiking cycle SME loans passed through about 32% of policy-rate increases versus 64% for corporate loans, a gap AMRO attributes to a "significant credit risk premium embedded in SME lending rates" (AMRO). The IFC's 2022 market study estimated "over $20 billion in readily available SCF assets" that banks and non-deposit-taking lenders could finance, while finding that non-bank lenders and fintechs were "not yet adequately engaged" and "banks have not stepped up" (PaymentsJournal, Dec 2022). A ₱67–180 billion small-

business financing gap attributed to the ADB in 2025 press coverage could not be traced to an original source and is UNSURE (GMA News); an IFC advisory project running to March 2027 with SB Corp and First Digital Finance will quantify the gap properly (Manila Bulletin, 3 Jul 2026).

Hard survey data on B2B payment terms does not exist in the public record; the notes found no Philippine DSO or late-payment survey by sector, which is itself a finding. The practitioner picture is consistent: SMEs "commonly serve bigger companies, institutions and government projects under 30-, 60- or even 90-day payment terms. The bigger the client, the longer the wait tends to be" (BusinessWorld column via Newswav, 2026); supermarket suppliers in Cebu wait "60 to 90 days before receiving the first collection" (SunStar Cebu, 2026); retail supplier terms stretch "from 60 to 120 days" with smaller firms "financing production, logistics and payroll long before receiving payment" (Newswav, Feb 2026); and with no Australian-style payment-times reporting, "60–90 days after the end of month" has "become normalized" (Newswav, 2026). FINEX proposed in January 2026 that large firms default to 30-day terms and publish average days-to-pay, confirming no such regime exists (FINEX, 30 Jan 2026). The 2019 Sagip Saka Act covers agricultural producers only.

Banks run anchor programmes, fintech marketplaces have all died, the survivor is a lender

Formal receivables finance in the Philippines is almost entirely bank-run reverse factoring around a small set of anchors. **BPI** launched a Digital Supply Chain Financing Program in 2024 in which corporates upload approved invoices and suppliers choose which to fund with same-day credit; it reached "more than 12 corporate clients and over 500 suppliers," transaction values "grew more than threefold" in 2025, and in October 2026 it added logistics firm FAST Group (BPI, 5 Aug 2026; Context.ph, Oct 2026). BPI's product lets anchors' suppliers sell receivables "on a non-recourse basis" and offers both non-recourse and full-recourse receivables-discounting lines (BPI; BPI merger FAQ). **RCBC** expected ₱330 billion of trade flows by end-2025 with supply-chain finance at about 4% of that, projected to grow 342% and pricing suppliers' early payment off the buyer's credit (RCBC); the researcher's own arithmetic puts RCBC's SCF at roughly ₱13 billion in 2025. **UnionBank** runs a blockchain-based SCF platform on "The Portal" with 58 supply-chain anchors, 200-plus MSME users, over ₱7 billion in loans and ₱12 billion in trade transactions at last disclosure (c. 2023), with named anchors including New Hope Bulacan, Pilmico Foods and a major telco (Inquirer, snippet; Manila Times, May 2022). **Security Bank** signed the ADB's first Philippine risk-participation agreement under the Trade and Supply Chain Finance Program on 12 May 2026, sharing credit exposure to reach "more local SME suppliers," with size and pricing undisclosed (Manila Bulletin, 12 May 2026). Metrobank lists a Supplier Finance Program on a page dated 2019; no BDO, Land Bank or DBP factoring or SCF product was found, and BDO's SME product is a real-estate-collateralised term loan of ₱3–50 million (Metrobank; BDO). No bank publishes SCF pricing, advance rates or tenors. No Taulia, Demica, C2FO or Kyriba programme in the Philippines was found, and no public supplier-finance programme at SM, Puregold, Jollibee, San Miguel, Ayala, Unilever, P&G or Nestle PH was identified, though the search budget ran out before this could be checked directly, so treat it as "not found" rather than "does not exist."

The fintech record is grim. **Acudeen**, a Singapore-incorporated invoice-auction marketplace founded in Makati in March 2016, won Seedstars' US$500,000 prize in 2017, onboarded over 400 SMEs in the month after its December 2017 launch, bought invoices at a 2% per month discount (2017), financed over ₱500 million of invoices for about 1,000 SMEs by late 2018 and targeted ₱5 billion for 2019, then pivoted to a blockchain "AssetChain" platform with a token; no press coverage exists after 2019 and acudeen.com now redirects to a domain-for-sale page (checked 4 November 2026), so it is effectively defunct though formally unverified (Founder Institute; Philstar, 10 Dec 2018; GTR; acudeen.com). **Investree Philippines**, a 50/50 venture between Investree Singapore and Filinvest's FDEV that held the first permanent SEC crowdfunding licence and had served about 150 SMEs, was wound down in May 2024 after the foreign partner was "no longer willing to provide additional capital infusion," with 2023 losses above ₱100 million and ₱64 million plus ₱42.8 million of impairments; its Indonesian parent had its licence revoked by OJK on 21 October 2024 for failing a Rp 7.5 billion minimum-equity rule, and its co-founder was charged and later repatriated (InsiderPH; Philstar, 26 May 2024; OJK). **SeedIn**, another SEC-licensed crowdfunder, halted payouts in December 2023 after uncovering an "apparent fraudulent act" by its founder; the SEC launched a special audit in January 2024 that was still "under review" in July 2024, and no 2025–26 coverage of the outcome exists (UNSURE) (Inquirer, 1 Jan 2024; Philstar, 3 Jan 2024; Manila Bulletin, 21 Jul 2024). The licensed crowdfunding sector as a whole had raised just ₱2.24 billion for 361 companies across 1,212 projects by end-2024 (Crowdfund Insider, Feb 2025).

First Circle is the survivor and the benchmark. An SEC-registered financing company (CA No. 1108, not BSP-regulated, banking rails via Netbank), it was founded in 2015 by an ex-Morgan Stanley banker, ran a Philippine beta from April 2016, raised a US$1.2 million seed in October 2016, US$2.5 million plus undisclosed debt by April 2017, a US$26 million Series A including a credit facility in October 2018, US$7 million in 2024 (the IFC took equity in its Singapore parent that year), and a ₱300 million (US$4.87 million) facility from Cathay United Bank in May 2026 (Irish Times, 2016; TechCrunch, 2018; Manila Bulletin, Jun 2024; e27, 25 May 2026). Its website reports "5,000+ Filipino businesses" and "₱16B+ in loans given since 2016," while its loan guide updated 3 November 2026 claims ">₱25 billion in SME financing as of 2026"; the two figures were captured at different dates and the discrepancy is UNSURE (firstcircle.ph; First Circle loan guide). Critically, First Circle's product is not factoring. It sells a Business Credit Line of ₱100,000–₱25 million at "as low as 0.79%" monthly interest plus a 1.99% per-withdrawal processing fee or subscription, and an Express Business Loan at 0% interest with a 1–4% one-time fee; it requires ₱1 million of annual B2B revenue, audited statements or an ITR, three months of bank statements and "unpaid purchase orders, invoices, contracts, or official receipts" as evidence of trade, and excludes travel and tours, mining, car dealerships and several other sectors (First Circle loan guide). Invoices are underwriting evidence, not purchased, notified assets. Its default rate and profitability are not published. The other large non-bank MSME lenders are collateral lenders, not factors: Asialink (₱41.9 billion book, 159,523 accounts, about 2% NPL at Q2 2025, funded by IFC up to US$130 million, ADB US$165 million and a Standard Chartered-led US$75 million syndication) lends against vehicles; Esquire Financing offers non-collateral loans up to ₱10 million and a post-dated-cheque "rediscounting facility," the closest incumbent product to factoring; Global Dominion does car, truck and title

loans; Fuse (GCash, ADB US$30 million, October 2025) and Maya do app-scored micro loans (Inquirer, Oct 2025; IFC, Jan 2025; esquire.com.ph; Manila Bulletin, 27 Oct 2025). Jenfi has no confirmed Philippine operations, and "Advance.ph" could not be found at all.

Player (status, Nov 2026)	Model	Scale (year)	Pricing disclosed?
BPI Digital SCF (active)	Anchor-led reverse factoring, non-recourse option	12+ anchors, 500+ suppliers, value 3x (2025)	No
RCBC SCF (active)	Anchor-led	~4% of ~₱330bn trade flows ≈ ₱13bn (2025, own calc)	No
UnionBank The Portal (active, stale data)	Blockchain anchor platform	58 anchors, ₱7bn cumulative (c. 2023)	No
Security Bank + ADB (new)	Anchor-led with ADB risk share	Undisclosed (May 2026)	No
First Circle (active, scaling)	Balance-sheet SME credit line; invoices as evidence	₱16bn+ cumulative, 5,000+ SMEs (2026)	Partly (0.79%/mo + 1.99% fee)
Esquire Financing (active)	Non-collateral loans; PDC rediscounting	30,000 customers, ₱10bn target (2024)	No
SB Corp PO Financing (active)	State purchase-order finance	₱500m budget, 80% advance, 1%/mo (2025)	Yes
Acudeen (defunct, unverified)	Invoice auction marketplace	₱500m, 1,000 SMEs (2018)	2–5% per invoice (2018)
Investree PH (wound down 2024–25)	Crowdfunded invoice/PO notes	~150 SMEs; >₱100m loss (2023)	No
SeedIn (impaired)	Debt crowdfunding	259 projects (2022); founder fraud (Dec 2023)	~10% p.a. to investors (2022)

The closest state product is SB Corp's **Purchase Order Financing**, launched 17 January 2025 with a ₱500 million budget: 80% advance on the PO, ₱30,000–₱20 million, 1% per month, 30–360 days, revolving, for firms with a year of operations and three fulfilled POs (Daily Tribune, 17 Jan 2025; Manila Times, 18 Jan 2025). SB Corp also announced a "Receivables Financing" programme for February 2025, but no launch terms were found, so its status is UNSURE. The subsidised 1% per month on POs is the public benchmark any private factor will be measured against; the private factor must win on speed, on invoices (post-delivery) rather than POs, and on eligibility.

Pricing corridor: 1% a month subsidised to 20% a week informal

Published short-term SME pricing in the Philippines is sparse but brackets neatly. SB Corp lends at 1% per month; a 2024–25 comparison lists UnionBank's business loan at "3% per month" and BPI's SME term loan at "1.30%" for 12 months with the basis (monthly add-on versus annual) unresolved (UNSURE) (The Business Manual, snippet); SeekCap, UnionBank's marketplace, quotes loans "starting at 2% per month" with most SME loans at 3% (First Circle SeekCap review, 2024); Acudeen's sellers "accept discounts of between 2%–5%" per invoice (2018) (BitPinas); fintech consumer loans such as Tonik's run "as low as ~4.26%" monthly add-on, up to about 84% APR (2025) (Moneymax); and informal lenders charge up to 20% a week. The BSP policy rate was cut to 4.25% in February 2026, raised to 4.75% in June 2026 and stood at 5.00% in August 2026, with

inflation expected above the 4% ceiling into 2027 (BusinessWorld, Feb 2026; ADB AsianBondsOnline). A factor pricing at 1.5–3.5% per 30 days therefore sits inside the bank-unsecured band, far below fintech consumer pricing, and above the state's subsidised PO window. Nobody, bank or fintech, publishes a factoring or SCF discount rate.

Infrastructure: a credit bureau that cannot see trade payables, e-invoicing that is not yet universal, a registry that is

The Credit Information Corporation has scaled sharply, holding **40.8 million borrowers and 423.6 million contracts at end-July 2026**, with a 79.6% hit rate in 2025, 28.2 million reports generated in 2025, a ₱10 per-report fee and PhilSys integration; 115 of 340 financing-company submitting entities now access it (CIC presentation, 13 Aug 2026; CIC). Two limits matter: a new submitting entity can only become an accessing entity "upon continuous submission of at least six months' worth of actual basic credit data of their borrowers" (CIC), and the CIC holds loan-contract data, not trade-payable behaviour, so it cannot show how a buyer pays its suppliers or detect an invoice sold twice. The BSP launched the JICA-built CRDPh web-based SME scoring system in August 2025, drawing on 33 pioneer institutions, to move banks from collateral- to risk-based lending (Manila Bulletin, 11 Sep 2025). Corporate buyer underwriting therefore rests on SEC filings ordered through SEC Express, PSE disclosures for listed anchors, bureau products from CIBI, CRIF, TransUnion and JuanScore, and the factor's own ledger, which is workable for a few dozen large buyers and inadequate for hundreds of SME buyers (SEC; TransUnion PH).

The BIR's mandatory e-invoicing system (EIS) is the Philippine analogue of the Chilean and Peruvian rails that made registry-based fraud control possible, but it is late and partial. RR 26-2025 moved the first-wave deadline to **31 December 2026** for taxpayers under the Large Taxpayers Service, e-commerce sellers and users of computerised accounting systems, with RMC 98-2026 (22 September 2026) confirming the date; micro taxpayers with gross sales under ₱3 million are exempt, continuous sales reporting is deferred, and no source addresses whether lenders will ever be able to query EIS data (UNSURE) (Grant Thornton PH, 2026; Comarch; RegFollower). The one piece of infrastructure that is fully live is the **Personal Property Security Registry**, which the Land Registration Authority made operational on 3 February 2025 under LRA Circular 02-2025 (launched 13 February 2025) with accounts receivable among the registrable asset types (LRA Circular 02-2025; Cruz Marcelo). Payment rails are adequate: InstaPay for Business, launched 29 July 2026, allows ₱500,000 per transaction, PESONet limits are bank-set, and the BSP lifted the transfer-fee moratorium in June 2026 with many banks now at zero fee (Manila Bulletin, 29 Jul 2026).

Government receivables: legal, routine, and currently toxic

Assignment of government-contract receivables is legal and historically a core bank product. Contractors "borrow from banks through working-capital lines and short-term project financing, often secured by progress billings or government receivables," and the Supreme Court has upheld disclosed assignments of government payables since the 1980s (Benel Lagua, Manila Bulletin/FINEX, 21 May 2026; Respicio). But standard bidding documents carry anti-assignment clauses requiring the procuring entity's prior

written consent, the government keeps set-off rights, and payments pass through COA, DBM and Treasury (Respicio, 17 Jan 2026). Since the 2025 flood-control scandal the segment has deteriorated: infrastructure spending fell 25% in July 2025 on delayed DPWH fund releases, about **₱13.8 billion of DPWH cheques sat uncashed at end-April 2026** under stricter validation, DPWH's secretary said on 28 October 2026 that numerous contractors remained unpaid for completed projects, and DBP, whose book is 50–60% infrastructure, braced for up to ₱2 billion lower 2025 income on contractor NPLs with the remark that "even the good contractors are having problems with some of their receivables" (Manila Bulletin, 25 Sep 2025; Manila Bulletin, 22 Jun 2026; Daily Tribune, 28 Oct 2026; Manila Bulletin, 28 Nov 2025). ARTA and DBM launched an "Ease of Paying Credit" initiative in July 2026 to speed payments (Context.ph, 20 Jul 2026). PhilHealth is similar: it owed government hospitals ₱14.8 billion in September 2024 and claims a 23.4-day average processing time in 2024, which hospitals dispute (Philstar, Sep 2024; ABS-CBN, Jan 2025). Sovereign receivables are a liquidity bet with unpredictable tenor, not a credit bet, and are suitable only with recourse to seasoned sellers.

Market size: unmeasured, and probably a few tens of billions of pesos of formal volume

No FCI, BSP or SEC aggregate exists for Philippine factoring or receivables finance. Triangulating from the disclosed programmes (RCBC's roughly ₱13 billion of SCF in 2025 by the researcher's calculation; BPI and UnionBank plausibly of similar order; Security Bank and Metrobank smaller) suggests bank SCF throughput of **₱30–60 billion a year**, an inference rather than a sourced figure, against the IFC's 2022 estimate of more than US$20 billion (about ₱1.1 trillion) of financeable SCF assets (RCBC; PaymentsJournal). Fintech receivables-type finance is low single-digit billions a year: First Circle's roughly ₱16 billion over ten years averages about ₱1.6 billion a year, roughly 0.3% of outstanding bank MSME loans. Formal penetration of the addressable pool is therefore in the low single digits of percent, and the SEC's registry of 3,549 financing and lending companies (2,539 active, January 2026) is dominated by consumer and vehicle lenders, not factors (Newswav, snippet). The SEC revoked 56 lending and financing licences in 2025 for non-reporting alone (Philstar, 3 Jun 2025).

Regulation permits a 100% foreign-owned ₱15 million licence, then polices conduct hard

The entity is an SEC financing company

Factoring is expressly a financing-company activity. RA 8556 §3(a) defines financing companies as those "extending credit facilities to consumers and to industrial, commercial, or agricultural enterprises, by direct lending or by discounting or factoring commercial papers or accounts receivable," §7(c) bars anyone from holding out as a financing company without authority, and §14 makes engaging in financing business without SEC authority a crime punishable by a ₱10,000–₱100,000 fine and up to six months' imprisonment (RA 8556). The Supreme Court in *Great Asian Sales Center v. CA* (2002) recognised receivables discounting as a Financing Company Act transaction, and Nicolas & De Vega Law's June 2026 view is that for "a recurring business" the regulated

route is "commonly to organize or invest in a domestic financing company" (NDV Law, 2026). A lending company under RA 9474 lends from its own capital or funds from no more than 19 persons, needs only ₱1 million, but has no discounting or factoring language, and §9(c) lets the SEC restrict lending companies' "purchases or sales of receivables with or without recourse basis" (RA 9474). Borrowing from 20 or more lenders to purchase receivables is quasi-banking requiring BSP authority (RA 9474 §3(c)), so the book must be funded from equity, bank lines or at most 19 note-holders. Whether a one-off purchase or an offshore purchaser with no Philippine presence falls outside RA 8556 was not resolved and needs a lawyer's opinion (UNSURE).

Licensing is two-step: incorporate, then obtain a Certificate of Authority from the SEC's financing and lending division, with a CA fee reported as 0.1% of paid-up capital (minimum ₱10,000) and a requirement to begin operations within 120 days or lose the licence, as Fast Coin Lending did in January 2023 (Respicio; Inquirer). Capital is the moving part. The statutory floors under RA 10881 were ₱10 million in Metro Manila and first-class cities, ₱5 million in other cities and ₱2.5 million in municipalities (RA 10881). **SEC MC 20 s.2026** (signed 7 July 2026, effective 1 August 2026) replaced the 2021 online-lending moratorium and, per three press and advisory summaries, set **₱15 million for new financing companies and ₱5 million for new lending companies "uniformly across the country,"** rising to ₱20 million with one borrower-facing app and ₱100 million with five, with a single CA per entity and mandatory CIC registration for app operators (Philstar, 10 Jul 2026; CloudCFO; Fintechnews.ph). The March 2026 draft had proposed ₱20 million for financing companies without apps, and the notes could not retrieve the circular's primary text, so the ₱15 million figure is UNSURE and must be verified against SEC MC 20 directly (Crowdfund Insider, Mar 2026). The 2021–26 moratorium applied to new online lending platforms, not to registering financing companies as such. Two governance rules bind the book directly: SEC-OGC Opinion 24-26 (2024) applies the IRR's rule that total credit to any single borrower may not exceed **30% of the financing company's net worth**, and Opinion 24-37 requires at least five directors for companies under the Revised Code of Corporate Governance (NDV Law). A ₱15 million company therefore cannot hold more than ₱4.5 million against any one client.

A US citizen can own all of it

Since RA 10881 (17 July 2016) both financing and lending companies "may be owned up to one hundred percent (100%) by foreign nationals," with the only caveat that a foreign-majority company cannot take title to land on foreclosure (RA 10881). Secondary sites still quoting 40% or 60% caps are superseded. SEC-OGC Opinion 14-05 confirms a fully foreign-owned corporation in a non-nationalised activity may have foreign directors and officers (SEC Opinion 14-05); the corporate secretary must be a Filipino resident and the treasurer a resident (Respicio). No Filipino partner is legally required, and nominee "dummy" structures carry criminal risk under the Anti-Dummy Law for no benefit (NDV Law). A founder present for six months as an officer still needs appropriate immigration status; work-visa requirements were not researched (UNSURE).

Assignment law: Civil Code notice plus PPSA registration

Two regimes overlap. Under the Civil Code, an assignment of credit is perfected by consent (Art. 1624), "shall produce no effect as against third persons" unless in a public

(notarised) instrument (Art. 1625), does not bind a debtor who pays the original creditor before knowledge of the assignment (Art. 1626), and carries a good-faith assignor's warranty of the credit's existence but not the debtor's solvency unless stipulated (Art. 1628), with any solvency guarantee lasting one year absent a stated term (Art. 1629) (Civil Code). The Personal Property Security Act (RA 11057, 2018) then brings outright buyers of receivables inside its registration and priority rules: "security interest" "includes the right of a buyer of accounts receivable," a "grantor" includes "a transferor in an outright transfer of an accounts receivable," priority runs from time of registration regardless of order of creation (§16–17), §10 voids contractual anti-assignment clauses for trade receivables while leaving the seller liable to its customer for breach, and §48(a) lets a secured creditor on default instruct the account debtor to pay it directly without judicial process (RA 11057). Belt-and-braces perfection for a factor is therefore a written and notarised purchase agreement, a PPSR notice, and a served notice of assignment on each debtor; because PPSA treats the buyer as a secured creditor "for the purposes of registration and priority only," the true-sale question in insolvency remains a Civil Code and FRIA matter for a lawyer to confirm (UNSURE). Under FRIA (RA 10142) a rehabilitation stay suspends enforcement but "shall not be deemed in any way to diminish or impair the security or lien of a secured creditor," sureties and solidary co-debtors can still be pursued (§18), and transfers within 90 days before commencement for "inadequate consideration" are presumptively rescindable under §58, a direct risk to deeply discounted purchases from a distressed seller (RA 10142). E-invoices and e-signatures are legally recognised under RA 8792 (RA 8792); the Bulk Sales Law covers goods, not receivables.

Tax: 5% gross receipts tax, no VAT, DST only on notes

A financing company is a non-bank financial intermediary not performing quasi-banking functions, so its interest, discounts and similar income bear a **5% gross receipts tax** under NIRC §122 (3% for maturities over two years, 1% over four, 0% over seven) rather than VAT (NIRC Title V). Corporate income tax is 25%, or 20% for small corporations under CREATE. Documentary stamp tax on debt instruments is ₱1.50 per ₱200 of issue price, pro-rated by days for terms under a year, and "only one documentary stamp tax shall be imposed on either loan agreement, or promissory notes" (RA 10963); the Supreme Court held in *Philacor Credit v. CIR* (2013) that a finance company's assignment of promissory notes was not itself subject to DST, because the tax attaches at issuance (Supreme Court E-Library). On a 60-day invoice discounted at 2%, the 5% GRT applies to the ₱2 of discount income per ₱100 of face, not to face value, and no VAT is charged to the client. The structuring choice follows: a with-recourse facility documented as an advance with a promissory note attracts §179 DST of about 0.75% annualised per drawdown, while an outright assignment of invoices arguably attracts none, though no BIR ruling or CTA case characterising factoring discounts as true sale versus loan was found, so a tax ruling or adviser's opinion is required (UNSURE). Withholding-tax rates on discount income and local business tax were not researched.

Rate rules do not bite on B2B, but disclosure and consumer-protection rules do

There is no general interest ceiling: Central Bank Circular 905 suspended the Usury Law from 1983, though courts strike "unconscionable" rates (6% a month has been called

"outrageous and inordinate"), and legal interest is 6% a year under *Nacar v. Gallery Frames* (2013) (Batasnatin; Supreme Court E-Library). The SEC's caps (MC 3 s.2022; recalibrated by MC 14 s.2025 to 6% nominal and 12% effective per month, 5% penalty, 100% total cost, from 1 April 2026) apply only to unsecured general-purpose loans of ₱10,000 or less with tenors of four months or less, so B2B receivables finance is outside them (SEC press release, Mar 2022; NDV Law, Jan 2026). Three regimes do apply. The Truth in Lending Act (RA 3765) defines "credit" to include "any purchase, or other acquisition of" claims and "finance charge" to include "discounts," and requires a written statement of the finance charge in pesos and as a simple annual rate (RA 3765). The Financial Consumer Protection Act (RA 11765, 2022) defines a "financial consumer" as "natural or juridical," so SME clients are covered, and gives the SEC power over "reasonableness of interest and fees," disgorgement, cease-and-desist orders and adjudication of claims up to ₱10 million (RA 11765); SEC MC 5 s.2023 implements it with board oversight, a consumer-protection risk system, a complaints desk and a possible cooling-off period (Legal500). And all financing companies are AMLA covered persons since SEC MC 4 s.2021 removed the old foreign-equity and capital thresholds, so AMLC registration, a risk-based prevention programme and training are day-one requirements (SEC MC 4 s.2021).

Collections and enforcement: tightly policed conduct, slow courts, cheap small claims

SEC MC 18 s.2019 bans threats, obscenities, public shaming, false statements, calls before 6 a.m. or after 10 p.m. (unless more than 15 days past due or consented), and, "notwithstanding the borrower's consent, contacting the persons in the borrower's contact list other than those who were named as guarantors or co-makers"; outsourced collectors are agents and "ultimate responsibility remains with the FCs and LCs," with fines of ₱50,000 and ₱100,000 for a financing company's first and second offences, up to ₱1 million, suspension or revocation for a third, counted per loan per complainant (SEC MC 18 s.2019). NPC Circular 20-01 (2020, amended 2022) bars harvesting phone or social-media contacts (NPC Circular 20-01). Enforcement is real: Surity Cash was fined ₱1 million, Global Dominion ₱50,000 in February 2026, and FCash Global Lending lost its licence in 2020 (Fintechnews.ph; BusinessWorld, 11 Feb 2026). On the enforcement side, a standardised commercial contract took **962 days and 31% of the claim value** to enforce under Doing Business 2020, ranking 152nd (Conventus Law); ordinary collection suits run 1.5–4 years at trial and 3–7 years on appeal (Respicio). The escape hatch is small claims: money claims up to **₱1,000,000** have gone through a final-and-unappealable summary procedure since 11 April 2022, with an IPA study finding a mean duration of about 63 days (Supreme Court; IPA). The other Philippine-specific tool is the post-dated cheque backed by BP 22: because the bouncing-cheque law carries criminal liability (now generally a fine under Supreme Court circulars 12-2000 and 13-2001), "it is now a common practice for creditors to require their debtors to issue post-dated checks," liability attaches even to cheques given as security, and a stop-payment on insufficiency grounds does not bar prosecution (Philstar, 2007; Respicio; Inquirer). The design rule that follows is to size each seller's recourse exposure to fit inside small claims or cover it with PDCs, take guarantees enforceable despite a FRIA stay, and put arbitration clauses (RA 9285) on anything larger.

Non-recourse works only where an anchor or an import factor underwrites the buyer

Trade credit insurance exists but was built for multinationals

Trade credit insurance is sold in the Philippines through fronting partnerships. Atradius names Malayan Insurance as its Philippine partner for domestic and export cover; the partnership was announced in March 2024 and Atradius's Southeast Asia director said "initially, we started offering it to local multinational corporations," with the middle market and small businesses to follow (Atradius Philippines; Manila Bulletin, 24 Mar 2024). Coface has written Philippine credit insurance "with local insurance partners" since 2006 and appointed a head of the Philippines effective 1 April 2026, but the local fronting carrier was not identified (UNSURE) (Insurance Business Asia). Allianz Trade lists a Philippine site but names no carrier (UNSURE). As of 2017 the Insurance Commission had allowed Malayan and UCPB General to offer trade credit insurance alongside TIDCORP, with typical cover of 75–95% of the invoice (BusinessMirror, 2017). No Philippine premium rates, minimum premiums, indemnity percentages or turnover thresholds were found, the Insurance Commission publishes non-life statistics by company rather than by line, and no evidence exists that any Philippine insurer has ever written a whole-turnover policy for a non-bank factor rather than for a seller. Global pricing of 0.1% to just over 1% of insured turnover is cheap in percentage terms, but the three big insurers (60–65% of global premiums in 2024) set minimum annual premiums and underwrite the *buyers*, so a small factor's insurable universe would collapse to the same large corporates that bank reverse-factoring programmes already cover (Atradius Group; Allianz Trade). Insurance would buy credibility and capital relief, not risk transfer on the hard part of the book.

No public guarantee covers purchased receivables

PhilGuarantee guarantees bank loans, not receivables: its MSME programme offered 50% cover on working-capital loans and up to 80% on term loans (2020), its standard rate is now 60% (65% for women-led MSMEs in a 12 October–10 December 2026 promotion), cumulative MSME loans covered reached ₱15.01 billion for 80,880 beneficiaries by June 2026, and in December 2025 it began guaranteeing loans of a private financing company, Discovery Capital (PhilGuarantee, 2020; PNA, Oct 2026; BusinessWorld, 31 Aug 2026; Manila Bulletin, 4 Dec 2025). A factor structuring its advance as a recourse loan secured on receivables could in principle sit under a PhilGuarantee line once licensed and seasoned, but that is recourse finance by construction. The multilaterals are wholesale: the ADB's Security Bank risk participation shares exposure with a bank, the ADB's own evaluation (3 November 2025) found its supply-chain finance programme "has struggled to scale, with limited engagement from domestic financial institutions and a focus on low-risk transactions," and only US$13.6 million of the Philippines' US$4.25 billion of 2025 ADB financing came through the trade programme (ADB, Nov 2025; Manila Bulletin, 23 Apr 2026). The IFC's Global Trade Supplier Finance programme has no identified Philippine bank. A small non-bank cannot plug into these directly; the realistic route is to become a sub-originator or servicer for a bank that holds the ADB participation.

The export route is clean in theory and closed in practice

The FCI two-factor system is the one proven mechanism by which a small emerging-market factor obtains true non-recourse buyer cover, because the import factor in the buyer's country assumes the approved credit risk. But FCI itself recorded in June 2018 that factoring "disappeared" from the Philippines and FCI lost its Philippine members after the 1997 crisis, hurt by the absence of a sound secured-transactions law, even though the Philippines had been an early Asian adopter of international factoring before China (FCI, 4 Jun 2018). An IFC/FCI deck from 2020 says "two thirds of the new FCI members came from the emerging economies, including Philippines," without naming the member, and no current Philippine FCI member could be confirmed for 2025–26 (UNSURE) (IFC APEC 2020 deck). FCI does admit non-bank emerging-market factors (Turkey's Lider Faktoring, for example), but import factors extend lines to the *export factor* under the Inter-Factor Agreement, so a thinly capitalised operator would get small lines and need a correspondent bank for FX settlement (FCI). Bangladesh's banks joined as associates and Vietnam now has eight FCI member institutions, all banks or foreign branches (VNBA, Aug 2025). Acudeen's 2018 tie-up with DS-Concept (Tradewind) to offer export factoring to PhilExport members is the only Philippine precedent found, and it did not survive (Tradewind, Mar 2018). Candidate export receivables (agri-food to Japan, US and EU buyers; garments; BPO and IT-services invoices to US, UK and Australian clients) are the researcher's inference, not sourced, and BSP foreign-exchange rules for a non-bank holding USD receivables were not researched (UNSURE).

Emerging-market practice: anchors, not insurance

Every comparator confirms that open-market SME factoring in developing economies is with recourse and that non-recourse appears only where the buyer is the underwritten party. Turkey's BRSA-reported receivables were 57.2% with recourse in 2010 and "the bulk of transactions, totaling 64%, were with recourse" in 2012, and Lider Faktoring, an FCI member, is "mainly active in with-recourse factoring" (ResearchGate; FCI). Vietnam did not even permit non-recourse factoring until Circular 20/2024 took effect on 1 July 2024 (Circular 20/2024). Mexico's Nafin programme is non-recourse "for the supplier" because, as participating bank Monex explains, once invoices are accepted on the platform "a commercial dispute is no longer possible" (Monex). India's TReDS transactions are "without recourse" to the MSME because financiers bid on buyer-accepted invoices (IFC Knowledge Guide). No published 2024–25 recourse split exists for any of these markets, and no comparator shows a small independent factor running insured non-recourse on fragmented domestic SME buyers at scale.

For the Philippines this points to a precise structure. The anchor universe is the listed conglomerates and their units, which S&P describes as carrying "an average debt-to-EBITDA ratio of less than 1x in 2024" though it does not rate them, San Miguel's ₱139.2 billion of bonds retain PRS Aaa from PhilRatings (July 2026), and the sovereign sits at BBB+ (S&P, positive), BBB (Fitch) and Baa2 (Moody's) in late 2025 (Daily Tribune, 11 Nov 2025; Manila Bulletin, 27 Jul 2026). BPI, UnionBank and now Security Bank with ADB already own the first-tier anchor relationships, so a small factor's realistic non-recourse programme is "mini reverse factoring" around two to five mid-sized anchors (distributors, contractors, BPO vendors, logistics firms) that will acknowledge assignments and approve invoices on the factor's portal in exchange for longer terms or

supplier stability. The honest label for what results is **insolvency-only cover on approved invoices from directly underwritten buyers, with full seller liability for dilution, disputes, set-off, returns and fraud**, which is how most emerging-market "non-recourse" is actually written and which needs no insurer. Vendor sources put the non-recourse surcharge at 25–50 basis points of invoice value in competitive markets and 0.3–1.5% where insurance is layered in (eCapital; FreightWaves); whether Philippine sellers will pay that on top of emerging-market discount rates for insolvency cover on blue-chip buyers whose failure they consider impossible is doubtful, and the value proposition (off-balance-sheet treatment, bank-line headroom) matters mainly to audited mid-caps, not micro-SMEs. Verification practice for any such programme is the global standard: match each invoice to a purchase order from a verified customer, check invoice numbers against prior purchases, have a clerk call the debtor's payables desk to confirm the amount owed, and confirm that payments come from the debtor's own bank account into a factor-controlled account (eCapital; FCI GRIF 2019). Without buyer approval, the deal should be treated as recourse regardless of label.

Comparators show registries and anchors, not laws alone, unlock factoring

Seven markets earn their place as comparators for a small Philippine factor: Chile, Peru and Colombia for how an invoice registry or legal-title rule turns invoices into a bankable asset for non-banks; Mexico and India for how anchor programmes open SME access; Indonesia for how fintech invoice finance fails; and Vietnam as the counterfactual of a bank-only regime. Turkey and Egypt serve only as templates for a non-bank factoring licence. Brazil is dropped because its market runs on the duplicata, a negotiable instrument with no Philippine analogue, and on FIDC fund vehicles; Thailand, Malaysia, Kenya and Nigeria are dropped for lack of reliable national data.

Market	Penetration / size (year)	Unlock	Non-bank share	Loss signal
Chile	~16% of GDP; US$55.3bn (2025); >40% of SMEs use factoring	Ley 19.983 invoice as enforceable title (8-day contest window) + mandatory e-invoice + SII	EFA non-banks ~US$1.05bn placements (2025) vs ~US$55bn total	Non-bank arrears 10.18%, 59% under 30 days (2025)
Peru	S/43,069m negotiable invoices (2024, +13%) = 20.4% of business credit	CAVALI/SUNAT invoice registry (Factrack)	71% of 129 registered financiers are factoring companies, but 10% regulated entities do 73% of volume	Not published
Colombia	2–3% of GDP; COP 46.7trn endorsed on RADIAN (2025) from 11.23trn (2022)	DIAN-run RADIAN registry; e-invoice as título valor	Banks (Bancolombia, BBVA) dominate	Not published
Mexico	€31.4bn FCI (2024), ~2.5% of GDP; AMEFAC US$35.3bn (2024); only 3% of firms ever used factoring	Nafin state-bank reverse factoring + fintech wave	Broad market incl. SOFOMs/fintechs US$66–70bn	Nafin book shrank MXN 46,045m (2021) to 30,987m (Jun 2024)
India	TReDS ₹1.38 lakh crore (FY24); RXIL ₹1,21,105 crore (FY26)	RBI-built exchange; buyer onboarding mandate; GST-linked dedup	Bank financiers bid	No transaction at or above 18% (Feb 2026)
Indonesia	P2P outstanding Rp 90.99trn (Sep 2025), Rp 31.37trn productive	Fintech P2P, retail-funded	Investree licence revoked 21 Oct 2024	Industry TWP90 3.19% (May 2025), 23 platforms above 5%
Vietnam	~VND 16,000bn outstanding vs ~VND 17m bn credit (~0.1%, Aug 2025)	Circular 20/2024; banks only	None	Not published
Turkey	2.77% of GDP (2022); 49 licensed companies	Law 6361 non-bank licence, BDDK supervision	Independent sector	NPL 2.8%, cost of risk 1.0%, ROE 18.2% (2021)

Sources: Vocero; CMF submission, Mar 2025; Chócale, May 2026; Forbes Perú, Feb 2025; Peru Congress; Portafolio; BCR WFY'26 Mexico; Nafin, Jul 2024; IMPRI; CXOToday; KNN India; Bisnis; VNBA; Fiba Faktoring; BCR WFY'23; TEB 2021.

Chile, Peru and Colombia: the invoice becomes the asset

Chile is the world's benchmark because three things coincided: Ley 19.983 gives the invoice copy "mérito ejecutivo," enforceable title, when the buyer has not contested it within eight days of receipt; Ley 20.727 made e-invoicing mandatory for all First Category taxpayers; and the tax authority SII became the system of record (Buk.cl; ICARE). The industry told the regulator in March 2025 that more than 40% of Chilean SMEs use factoring, over US$50 billion a year, and that no formal registry of factoring

companies even exists (CMF submission). The non-bank segment's 2025 report is the most useful operating benchmark anywhere for a small factor: gross placements of CLP 943,978 million (about US$1.05 billion), up 11.4%, 227,000 operations, factoring 70% of placements, commerce, construction, manufacturing and transport 55% of operations, and a **weighted arrears rate of 10.18% with 59% of arrears under 30 days** (Chócale, May 2026). Late payment, not write-off, is the normal operating condition of a small factor serving SMEs, and pricing and liquidity buffers must assume it. Peru's registry turned factoring into a micro-enterprise product: negotiable invoices registered at CAVALI closed 2024 at S/43,069 million, up 13%, invoices under S/10,000 grew 27%, more than 25,000 companies have used factoring with over 95% of them MIPYMEs, and negotiable invoices were 20.4% of business credit in 2024 (Forbes Perú; Andina; Peru Congress). Yet even there the 10% of registered financiers that are regulated institutions did 73% of volume, leaving about 92 independent factoring companies to share 27% (Forbes Perú). Colombia's RADIAN shows how fast a tax-authority registry scales once invoices must pass through it: endorsed invoices rose from 88 in 2021 to 1,766,898 in 2025 and from COP 11.23 trillion (2022) to COP 46.7 trillion (2025), though implementation problems pushed some business into off-platform assignments (Portafolio; Asuntos Legales). The Philippines has none of this: the PPSA registry records assignments but does not make an invoice a title, and the BIR's EIS is not linked to assignment.

Mexico and India: the anchor substitutes for the SME's credit history

Nafin's Cadenas Productivas supported an average of 18,400 companies a year in 2019–22, 95% of them MiPyMEs, yet its balance fell from MXN 46,045 million (13% of Nafin's book) in 2021 to MXN 30,987 million (about 7%) by June 2024, and only 3% of Mexican firms have ever used factoring despite a formal market AMEFAC sizes at US$35.3 billion in 2024 (Nafin/Bancomext, Jun 2023; Nafin 2021; Vocero; BCR WFY'26). India's TReDS financed 41.6 lakh invoices worth ₹1.38 lakh crore in FY24 across four platforms; RXIL alone did ₹80,500 crore in FY25 for over 44,000 MSMEs and ₹1,21,105 crore in FY26, pricing is set by competitive financier bids keyed to the buyer's rating and tenor, and the government told parliament in February 2026 that no TReDS transaction had been recorded at 18% or above (IMPRI; Outlook Business; CXOToday; KNN India). Two lessons transfer. Every scaled programme had a sponsor able to compel or strongly nudge buyer participation, which an independent cannot do, so the independent's version is a handful of mid-tier anchors it signs itself. And anchor programmes plateau once the easy large-corporate chains are covered, which is exactly where a small operator's opportunity lies.

Indonesia and Vietnam: how it fails, and what happens without non-banks

Indonesia supplies the clearest failure. OJK revoked Investree's licence on 21 October 2024 after it failed the Rp 7.5 billion (about US$480,000) minimum-equity rule despite warnings, banned its founder from the industry, and froze his assets, a year after the company had signed a Series D with Qatar's JTA (Jakarta Post, 22 Oct 2024; OJK). The equity shortfall was tiny relative to the fundraising; the failure was governance and loss of funder confidence. Industry-wide, P2P 90-day defaults ran 3.19% in May 2025 with 23 platforms above 5%, and productive-sector lenders were over-represented among the high-default platforms (Bisnis; Kontan). The survivors show the other side of the

distribution: Funding Societies reached US$3 billion disbursed across more than 5 million transactions to almost 100,000 SMEs by April 2023 with cohort defaults below 2% and a US$50 million HSBC line; its Malaysian platform reports 1.04% (FF News, Apr 2023; The Edge Malaysia). Drip Capital climbed from a US$40 million committed warehouse from East West Bancorp (2021) to US$135 million of bank debt and then a US$113 million round in September 2024 with US$90 million of debt led by the IFC (Crowdfund Insider; YourStory, Sep 2024); Xepelin has financed more than US$7 billion for 70,000 clients since 2019 on more than US$300 million of capital and debt, including Goldman Sachs facilities (Techleap, Dec 2025). The pattern is uniform: the first institutional warehouse line (US$15–50 million) came from a bank, the IFC entered only at the US$90 million-plus stage after a multi-year track record, and retail P2P money was the most fragile funding of all. Vietnam shows the counterfactual: a bank-only factoring circular, even after the July 2024 reform permitting non-recourse, left outstanding factoring at roughly VND 16,000 billion against VND 17 million billion of system credit, about 0.1%, with the banking association calling for a receivables data centre to prevent duplicate financing (VNBA/IFC, Aug 2025). Turkey and Egypt complete the picture as regulatory templates: Turkey's 49 BDDK-licensed companies serve 71,614 customers through 365 branches (Fiba Faktoring), and Egypt's FRA-regulated non-bank factoring reached EGP 102 billion in the first ten months of 2025, up 82.4%, while Africa's volume rose from EUR 21.6 billion (2017) to EUR 50 billion (2024) across about 200 companies under an Afreximbank push (Daily News Egypt; Nairametrics, Dec 2025). A dedicated non-bank licence plus a DFI push can grow a market from near zero, which is the Philippine starting point.

The transferable rules for the Philippines are five. Register every purchased receivable on the PPSR to deter double financing, since there is no Chile-style title rule. Require the buyer's acknowledgement on each invoice as a contractual substitute for mérito ejecutivo. Start recourse-to-seller on unconfirmed invoices and move to non-recourse only on confirmed invoices from directly underwritten anchors. Budget for Chilean-style double-digit arrears and a 1–2% fraud baseline, with tenors of 30–90 days to keep exposure turning. And fund with founder equity and a bank line, never retail money.

Venture lens: originate first, then build a ₱20–50 million recourse book

The niches: staffing subcontractors and FMCG suppliers first

The strongest evidence of large, slow-paying, creditworthy debtors is in supermarket and FMCG supply, where 60–120 day terms are documented and the debtors (SM, Puregold with "more than 1,500 suppliers and trade partners" in 2022, Robinsons Retail with accounts payable of about ₱16.4 billion at June 2024) are listed and solvent (Daily Tribune, Dec 2022; AlphaSpread). First Circle's ₱1 million revenue floor and audited-statement requirement exclude the informal and provincial sellers who supply these chains, so the gap is sub-₱1 million-revenue and provincial suppliers whose invoices are regular and whose debtors are national. The constraint is debtor cooperation: no data exists on how often large Philippine retailers honour notices of assignment, and their payables desks will not confirm invoices for a factor they have never heard of.

Staffing and manpower subcontracting has the sharpest cash-flow mismatch in law. The agency is the direct employer and must pay wages on time regardless of client delays; "Philippine courts and the DOLE do not recognize cash-flow shortages as a valid defense" (Respicio). DOLE Department Order 174 (2017) requires legitimate contractors to hold ₱5 million of "substantial capital" and register for a ₱100,000 fee valid two years, which screens out the weakest sellers (Rappler). Debtors (BPOs, hotels, retailers, developers) are institutional and invoices are semi-monthly. In the US this is a classic factoring niche, with staffing factors advancing 85–93% at 1.0–2.5% per 30 days and non-recourse adding 0.5–1.5 points (Beancount, Aug 2026). No Philippine payroll-funding or staffing-factoring product was found, which signals either an open niche or a hidden difficulty, for instance that principals' solidary liability for wages under the Labor Code makes them reluctant to pay a third-party assignee (not researched, UNSURE). This is the hypothesis Placewell's network is best placed to test.

Construction subcontractors have documented pain but contingent invoices: a DPWH-related subcontract pays the subcontractor only "within seven (7) days after the check issued by DPWH to CONTRACTOR has already been made good," retentions of 5–10% are standard, and disputes go to CIAC arbitration (Supreme Court E-Library; Respicio); only owner-certified progress billings are factorable. Government and PhilHealth receivables are large, slow, politically volatile and consent-gated, suitable only with recourse and seasoned sellers. Logistics has qualitative evidence of extended terms and no day counts (PortCalls). Export and USD receivables of IT firms and freelancers are a gap with no current Philippine product and unresearched FX rules.

Illustrative unit economics: a ₱5 million book is a hobby, ₱20–50 million is a business

The model below is the researcher's, and every input is an **ASSUMPTION** unless cited. Pricing is 2.5% of advance per 30 days in the base case and 3.5% in the high case, bracketed by Acudeen's 2–5% per invoice (2018), SeekCap's 2–3% a month, US staffing's 1–2.5% per 30 days plus a Philippine risk premium, and First Circle's effective 3–4% for a 45-day draw at the small-SME tier (0.79% a month plus a 1.99% processing fee) (BitPinas; First Circle SeekCap review; First Circle loan guide). Average tenor is 45 days with the book fully utilised year-round (which ignores ramp-up, so year-one actuals would be lower); the advance rate is 80% of face; cost of debt is 15% a year (SeedIn marketed about 10% a year to investors plus a platform cut; Investree Indonesia's lenders earned 14–20%) (MarketMonitor, 2022); credit losses are 3% of the average book a year, with the banking system's 3.08% NPL ratio at December 2025 as a weak proxy because no small-factor Philippine loss data exists (Manila Bulletin, Feb 2026); opex is ₱1.2 million a year at ₱5 million (one operations and collections hire, accounting and compliance, legal templates, software at about ₱200,000 a year on a US$299-a-month tier, founder unpaid), ₱3.5 million at ₱20 million (three staff including a credit and compliance officer) and ₱7 million at ₱50 million (six to seven staff with field verification) (Factor Avenue pricing); capital structure is 100% equity at ₱5 million, ₱10 million equity plus ₱10 million debt at ₱20 million, and ₱15 million equity plus ₱35 million debt at ₱50 million. Figures are pre-tax, before founder salary and before licence set-up costs.

Book (average advances)	Gross yield p.a.	Revenue	Interest cost	Credit loss	Opex	Pre-tax result	Return on equity
₱5m, base (2.5%/30d)	30%	₱1.50m	₱0	₱0.15m	₱1.20m	+₱0.15m	3%
₱5m, high (3.5%/30d)	42%	₱2.10m	₱0	₱0.15m	₱1.20m	+₱0.75m	15%
₱20m, base	30%	₱6.0m	₱1.5m	₱0.6m	₱3.5m	+₱0.4m	4%
₱20m, high	42%	₱8.4m	₱1.5m	₱0.6m	₱3.5m	+₱2.8m	28%
₱50m, base	30%	₱15.0m	₱5.25m	₱1.5m	₱7.0m	+₱1.25m	8%
₱50m, high	42%	₱21.0m	₱5.25m	₱1.5m	₱7.0m	+₱7.25m	48%

Four sensitivities govern the outcome. Each additional point of annual credit loss costs ₱50,000, ₱200,000 and ₱500,000 at the three book sizes. If pricing is a flat per-invoice discount rather than a daily accrual, a 15-day lengthening of tenor cuts gross yield by about a quarter, which is why Chile's 10% arrears matter even when write-offs are low. The 5% gross receipts tax applies to revenue (about ₱75,000 at ₱5 million base, ₱1.05 million at ₱50 million high) and corporate income tax of 20–25% to the result, so after-tax returns are roughly a fifth to a quarter lower than shown. And the 30%-of-net-worth single-borrower cap means a ₱10 million company can hold at most ₱3 million against one seller and a ₱15 million company ₱4.5 million, forcing at least seven active sellers to fill a ₱20 million book. The founder-network arithmetic illustrates the point: a staffing subcontractor with 200 deployed workers billing about ₱20,000 a month each generates roughly ₱4 million of invoices a month, and at an 80% advance on 45-day terms that single client would consume about ₱4.8 million of book, the whole of a ₱5 million starter fund and above the single-borrower cap at ₱10 million of net worth (ASSUMPTION). The conclusion is that at ₱5 million the venture is a sweat-equity side business that mainly buys learning; it becomes a real business at ₱20 million and above, priced at the upper end, with losses held near 3% and funding below 15%. That matches First Circle's path (seed-funded, immediately raising debt) and Investree PH's death when its capital partner withdrew.

Minimum viable structure: three legal routes, one of them capital-free

A recurring receivables-purchase operation needs a financing-company Certificate of Authority; the lending-company route does not fit the statute, and an unlicensed "private purchaser" marketing a recurring service faces RA 8556 §14. The three routes are a fresh licence (₱15 million paid-up, UNSURE versus ₱20 million; roughly US$260,000 at the researcher's assumed ₱58–59 per dollar; a Filipino resident corporate secretary and five directors; an assumed three to six months for incorporation, capital deposit and SEC review since no documented timeline exists), a share purchase of an existing compliant financing company (legally a purchase of the corporation, not the licence; SEC confirmation of change of control "typically issued within two to eight weeks"; it does not avoid the capital floor, inherits legacy liabilities, and no price evidence for a clean shell was found, so broker claims of cheap licences should be treated with suspicion given 47 financing-company revocations in May 2025 alone) (NDV Law; Triple i Consulting; Philstar via Magzter), and originating for a licensed lender. The last needs no capital: First Circle pays a flat ₱10,000 per referral that is financed, its Referral Partner Program

advertises "up to ₱45,000 in commission fees per referral" for "individuals with a large B2B network," and an Agent programme page captured in search promised ₱30,000–₱325,000 per client but returned a 404 on fetch, so its status is UNSURE (First Circle refer-a-business; First Circle referral partners; First Circle FCAP). Investree PH ran referral and anchor programmes before closing, and SeekCap is a bank marketplace onto which third-party lenders plugged in. No public template for a structured sub-participation or co-investment alongside a licensed financing company was found.

Operations are labour, not software. A ₱5–20 million book runs on a spreadsheet ledger plus a US$299-a-month platform; the real cost is field verification and collections. The practical Philippine stack is a notarised deed of assignment per batch, a PPSR notice, a notice of assignment served on the debtor with written acknowledgement wherever obtainable, a post-dated cheque from the seller for the recourse amount, payment into a factor-controlled account, a TILA disclosure statement per facility, and a collections policy that meets MC 18 from day one. Nobody visible in 2026 is running true debtor-notified factoring at small ticket; First Circle's product is revenue-based credit with invoices as evidence, which leaves hand-verified factoring, calling the buyer's payables desk and obtaining acknowledgement, as a differentiator a small operator can execute manually.

Funding: equity and a bank line, then DFIs after 24 months of audited losses

Cost of funds for a solo operator realistically sits at 12–18% from private or family-office money, because no evidence exists of Philippine banks lending to newly licensed micro-factors, and a bank line at policy rate (5.00% in August 2026) plus spread is plausible only after a track record. Funding from 20 or more lenders is quasi-banking, so note programmes must stop at 19 holders or go through a licensed crowdfunding intermediary, whose Philippine record (Investree PH, SeedIn) argues against it. The comparators' ladder is consistent: founder equity, then a US$15–50 million bank warehouse (East West for Drip, HSBC for Funding Societies, BBVA Spark for Xepelin), then IFC debt at US$90 million-plus after a multi-year track record; First Circle and Acudeen both raised institutional equity within 12 months of launch (US$1.2 million seeds from the same syndicate of Key Capital, 500 Startups and IMJ in October 2016) and debt within about 18 months, and neither bootstrapped from fee income (Irish Times, 2016; DealStreetAsia, 2017). PhilGuarantee cover and SB Corp's wholesale window (a portfolio of over ₱2.5 billion across 143 partner institutions, undated) are credit enhancements to approach once licensed and seasoned, not launch funding. The IFC's First Circle securitisation, if it closes, creates a Philippine precedent for selling seasoned SME receivables to a bankruptcy-remote SPV, which is the eventual exit for a small originator's book.

Risks, with their Philippine mitigants

The documented risks are ordinary litigation of 1.5–4 years, which pushes all enforcement into PDCs, small claims under ₱1 million and debtor cooperation; SEC conduct enforcement on collections with fines of ₱50,000 to ₱1 million and revocation, which makes a written MC 18-compliant policy a licence condition in practice; sovereign-payer volatility, with DPWH payments withheld through 2025–26; funder or partner

withdrawal, which killed Investree PH; seller diversion (the debtor pays the seller, who keeps the cash) where debtors will not pay a third party, mitigated only by assigned collection accounts and by financing only sellers whose debtors accept notice; the FRIA 90-day claw-back presumption on deeply discounted purchases from distressed sellers; concentration, capped by the 30%-of-net-worth rule; and fraud types (double financing, fake invoices, collusion) that are global and for which no Philippine case against a financier was found, which most likely reflects the market's small size rather than low risk. Dilution on FMCG invoices (returns, promotional deductions, credit notes) is unmeasured in the Philippines and is the risk most likely to surprise a first-time factor.

Where Placewell International fits

A manpower and recruitment network gives privileged access to two flows and one shortcut. The first flow is domestic staffing and subcontracting receivables: DOLE-registered contractors in Placewell's orbit, with ₱5 million of capital, invoicing BPOs, hotels, retailers and developers semi-monthly under a legal duty to meet payroll whatever the client does, are the most natural first book, because invoices are regular, debtors are institutional, and demand is urgent and recurring. The second flow is overseas-deployment fees: DMW policy is that "the employer bears the costs, not the OFWs," Qatar is a no-placement-fee country, worker-side fees where allowed are capped at one month's salary, and foreign employers must engage a Philippine agency, so the agency's receivable is an employer-side fee from a foreign principal (Daily Tribune, Sep 2024; DMW). Those are foreign-currency receivables from non-Philippine debtors, hard to verify and enforce from Manila and politically sensitive given active DMW enforcement, so they rank below domestic staffing receivables. No evidence of factoring or payroll funding in the Philippine recruitment sector was found, and foreign employers' payment terms to agencies are undocumented. The shortcut is First Circle's referral programme, which explicitly targets "individuals with a large B2B network" and pays at first drawdown; registering during January–June 2027 is a near-zero-capital way to test origination volume in the network, learn Philippine underwriting, and accumulate evidence for a licensed book. The small BD agency can run the outreach.

The recommended path for January–June 2027

Months one and two: map 20–30 staffing-subcontractor and FMCG-supplier prospects through Placewell and the BD agency, collecting for each the debtor's name, invoice frequency, average ticket and actual days-to-pay (the venture must generate its own payment-terms data, since none is published); register as a First Circle referral partner; retain Philippine counsel for a written opinion on whether a handful of personal receivables purchases without a CA is outside RA 8556, on true-sale versus loan characterisation for GRT and DST, and on PPSA and FRIA treatment; and request the current CGFD documentary checklist from the SEC and the primary text of MC 20 s.2026. Months two to four: fund five to ten hand-picked invoices of ₱300,000 or less each from personal or friends' capital, each PDC-backed and debtor-acknowledged, while tracking days-to-pay, dilution and whether large debtors honour assignment notices; in parallel, obtain written indications from Malayan (Atradius) and the Coface partner on whether they would quote a small factor, from PhilGuarantee on whether a financing company's receivables-secured loans can be guaranteed, and from FCI's Asia chapter on membership criteria and whether any Philippine member exists. Months four to six:

decide among a fresh ₱15 million licence, a share purchase of a compliant financing company, or remaining an originator, based on three numbers the pilot will have produced: realised days-to-pay against invoice terms, dilution as a share of face value, and the proportion of debtors that acknowledged assignment. If debtors acknowledge and dilution is low, the recourse book at ₱20 million with a mini-reverse-factoring programme around two to five anchors is the plan; if debtors refuse, the business is a PDC-secured SME lender competing with Esquire, and the factoring thesis should be dropped. This sequence is the researcher's construction modelled on the precedents, not a sourced prescription.

Conclusion

The research reframes the question. "Should I start a factoring company in the Philippines?" becomes "can I build a debtor-verification capability that no one else in the market has bothered to build, and fund it with patient capital?" The product label is secondary: recourse and non-recourse differ only in who bears a debtor's insolvency, and in a market with no trade-credit bureau, no invoice-as-title rule and no e-invoice registry, every honest structure is recourse on unconfirmed invoices and insolvency-only cover on confirmed ones. What the Philippines does have, uniquely among the comparators, is a demand side that every indicator (4.7% MSME share of bank credit, 10% MSME NPLs, 60–120 day retail terms, an IFC estimate of US$20 billion of financeable assets) says is enormous, a supply side that has either failed (every marketplace since 2016) or retreated into anchor-only bank programmes and revenue-based credit lines, and a legal and licensing regime that is now unusually open to a foreign founder. The gap is not product or law; it is the unglamorous work of calling payables desks, serving notices, registering assignments and holding post-dated cheques, done at tickets the banks ignore.

That reframing also sets the bar for success. The comparators say a small independent will remain a niche player even in a well-plumbed market, that the first institutional funding comes from a bank after two years of audited cohort data, that governance failures kill faster than credit losses, and that late payment rather than default is the daily condition of the business. The Placewell network converts the hardest problem, origination of verifiable invoices from sellers with institutional debtors, into the easiest, which is why the recommended first step is to originate before licensing. If, by June 2027, large debtors in that network will acknowledge assignments and dilution proves manageable, a ₱20–50 million recourse book with a mini-reverse-factoring layer is a credible, fundable business whose eventual exit, via securitisation or sale to a bank, the IFC's First Circle transaction is now clearing a path for. If they will not, the data will have cost a few hundred thousand pesos and six months, which is the cheapest market research available.

Open questions that would most change the conclusion

Whether large Philippine debtors, especially the supermarket chains and BPOs, will acknowledge notices of assignment and confirm invoices for a small, unknown factor is the single question on which the entire factoring thesis rests; no data exists, and a refusal

turns the venture into a PDC-secured lender. Whether the final text of SEC MC 20 s.2026 sets new financing-company capital at ₱15 million or ₱20 million, what the CGFD checklist and processing time now are, and whether a one-off or offshore purchase of receivables falls outside RA 8556 determine the cost and timing of entry (all UNSURE). Whether the BIR will characterise a true-sale factoring discount as "interest or discount" under the 5% GRT with no DST, and whether any CTA or BIR ruling exists, decides whether the outright-assignment structure is tax-efficient or whether a loan-with-note structure is safer. Whether Malayan (Atradius) or the Coface partner would quote a whole-turnover policy to a non-bank factor at all, and at what minimum premium, decides whether any insured non-recourse is possible; whether PhilGuarantee will cover a financing company's receivables-secured book and whether SB Corp's announced "Receivables Financing" programme ever launched decide whether public credit enhancement exists. Whether a Philippine FCI member exists in 2026 and what FCI's admission criteria now are decide whether the export two-factor channel is open. Whether BIR EIS data will ever be queryable by financiers after the 31 December 2026 go-live, and whether the PPSA transitional period has formally ended, decide whether registry-based fraud control on the Chilean or Peruvian model can ever be built here. Real dilution rates on FMCG and staffing invoices, First Circle's actual default rate and advance practices, and the price of a clean licensed financing-company shell are the three numbers that would most change the unit economics. And whether a principal's solidary liability for wages under the Labor Code makes BPOs and hotels reluctant to pay a staffing subcontractor's assignee is the question that decides whether the Placewell network's most natural niche is open or quietly closed.